

Sustained US-Iran truce would help keep growth solid and inflation subdued

- **Key changes:** We've nudged down our GDP growth forecast by 0.1ppt to 3.5% for 2026 and kept it unchanged at 2.9% next year. We've cut inflation forecast by 0.3ppts this year to 3.1%, with inflation expected to ease to 2.6% in 2027, down 0.1pt since last month. A solid downside surprise in May inflation triggered the shift, with the recently announced US-Iran deal pointing to further downside risks. Relatedly, we've stuck to our longstanding view that the central bank will keep the policy rate at 3.75% this year, before making a final cut next year to 3.5%.
- **Short-term forecast:** GDP growth eased to 0.6% q/q in Q1. While the outturn was revised up from the flash estimate and was partly weighed down by a colder-than-usual winter, it reinforces our view that the Polish economy is moving past its current growth-cycle peak. Household consumption should remain a key growth driver despite moderating wage dynamics, supported by a still-tight labour market and a falling savings rate, while investment growth is set to strengthen as EU fund absorption accelerates.
- **What to watch out for:** The fiscal outlook remains the key challenge. Multiple spending commitments are bloating expenditures and political gridlock is limiting tax increases, suggesting fiscal consolidation will be gradual, which will keep the debt-to-GDP ratio on a steep upward path through the rest of this decade. This raises the risk of persistently higher long-term bond yields and could erode investor confidence in Poland's long-term fiscal sustainability if growth weakens or another external shock affects the economy.

Table 1: Poland forecast overview

	(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)					
	2023	2024	2025	2026	2027	2028
GDP	0.2	3.1	3.6	3.5	2.9	2.1
Private consumption	-0.2	2.9	3.7	3.0	2.8	2.3
Fixed investment	10.8	2.3	3.7	5.5	5.6	3.0
Industrial production	-2.0	0.9	2.1	3.5	1.0	1.9
Current a/c balance (% of GDP)	1.5	0.3	-0.9	-2.0	-1.6	-0.7
Unemployment rate (%)	5.2	5.1	5.4	5.6	5.0	4.6
Consumer prices	11.4	3.8	3.8	3.1	2.6	2.9
Government balance (% of GDP)	-4.7	-6.1	-7.0	-6.8	-6.1	-5.5
Gross government debt (% of GDP)	49.6	55.0	59.8	66.6	70.9	73.3
Central bank policy rate (% EOP)	5.75	5.75	4.00	3.75	3.50	3.50
10yr govt. bond yield (% EOP)	5.25	5.92	5.15	5.60	4.99	4.90
Exchange rate (Zloty per US\$, EOP)	3.94	4.10	3.60	3.65	3.59	3.56

Source: Oxford Economics

Baseline forecast

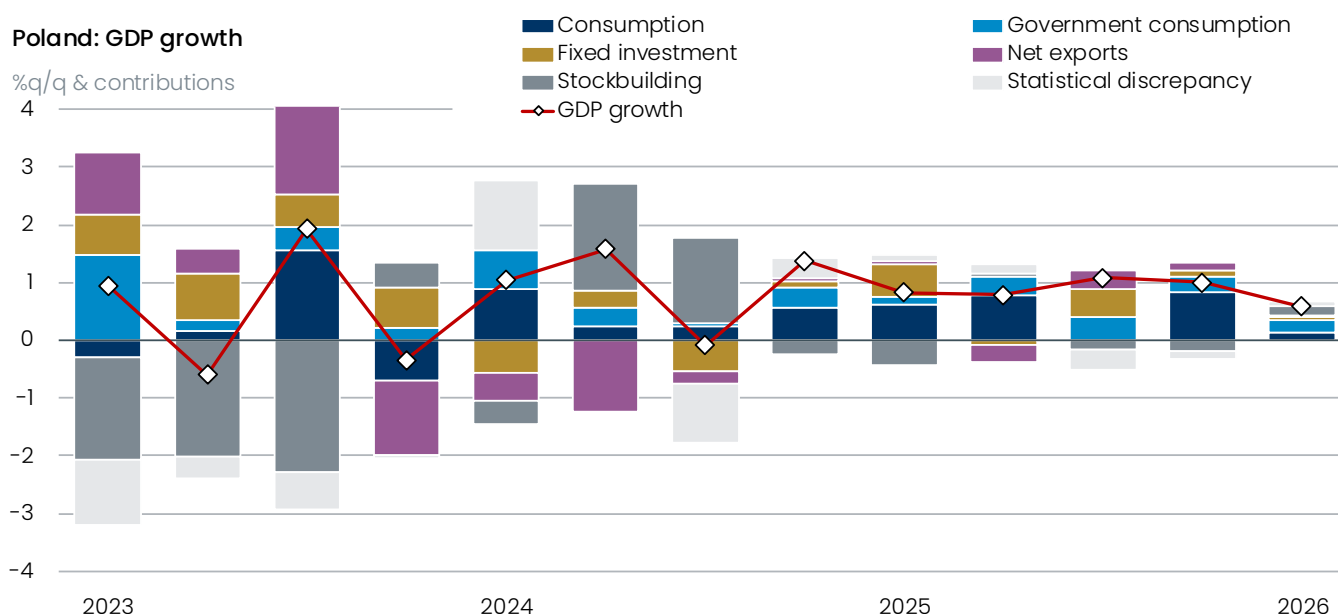
Recent developments

The final release indicated GDP growth in Q1 being revised up to 0.6% q/q, or 3.5% y/y. Domestic demand growth eased to 0.4% q/q, the weakest since Q1 2024 as consumption and fixed-investment growth proved modest at 0.2%-0.3% q/q. While net exports were growth-neutral, stockbuilding added an eye-catching 0.2ppts to the sequential GDP growth, pointing to restocking as the key growth driver at the start of the year ([Chart 1](#)).

Activity in Q2 has sent mixed signals. On the upside, consumer spending has held up well as retail sales advanced by 0.8% m/m in April, translating into a decent 2.7% annual growth. Positively, headline consumer confidence rebounded in May as household inflation expectations came off a March peak, falling for the second consecutive month to a level modestly above where it was before the US-Israel war with Iran. Purchase intentions rebounded too, leading to a modest recovery in sentiment for the consumer-facing sectors.

Industry saw a 2.6% monthly decline in output in April, or 3.1% y/y, but that was all but a normalization of production volumes following March's surge amid the uncertainty caused by the reignition of the US-Israel war with Iran. Intermediate goods output performed particularly well as they inched up in April and were 6.1% up on the year. Consumer goods were the only main category to contract on an annual basis at the start of Q2. Remarkably, industrial orders have remained resilient to the global turbulence, with the difference between orders and inventories – a key forward-looking indicator of near-term production outlook – in May mostly positive since 2022.

Chart 1: GDP growth eased in Q1 as domestic demand faltered



Sources: Oxford Economics, Haver Analytics

Inflation surprised well to the downside in May as it fell 0.1ppt to 3.1% y/y. The primary reason was falling food prices which defied a seasonal pattern of a mild increases in May. But services prices fell on the month too as transport, communication, and recreation prices all ticked down. Relatedly, core inflation remained muted with the marginal monthly uptick to 3.1% y/y attributable solely to the base effects.

The registered unemployment rate ticked up to 6% at the start of Q2, the highest since October 2021. But it's not necessarily a sign of labour market loosening as the harmonized rate remained glued to 3% in April. In any case, nominal earnings growth eased to 5.4% y/y that month, pointing to the weakest wage pressures since 2020.

Short-term forecast

We've nudged down our forecast for Poland's GDP growth by 0.1ppt to 3.5% for 2026 and kept it at 2.9% for 2027. This reflects resilient consumption, which is expected to grow at an average of close to 3% this year and next. The recent announcement of the US-Iran deal should pave the way for normalizing household inflation expectations and prevent a buildup of precautionary savings as indicated by continually strong purchase intentions.

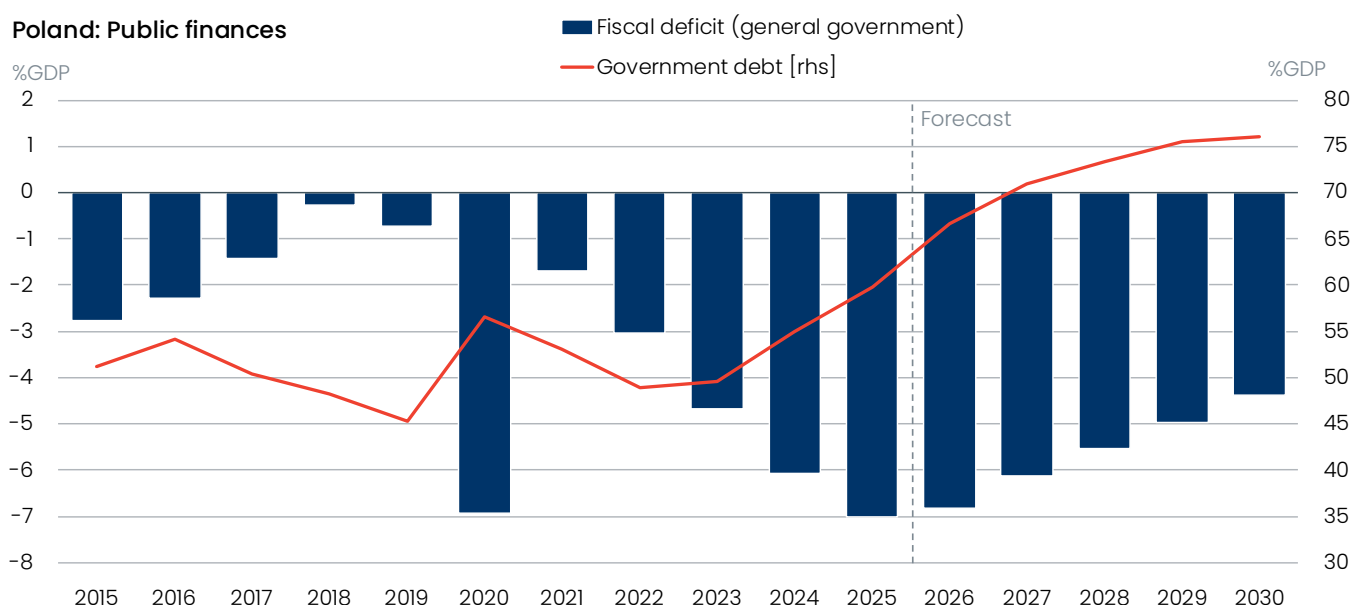
Elsewhere, we expect investment growth to remain solid at around 5.5% in 2026 and 2027. This will primarily be supported by private and public investment co-financed by EU funds. Poland has already contracted around PLN117bn, or 3% of GDP, under the NextGeneration EU programme and received roughly half of that amount in disbursements, while the so-called structural inflows are accelerating. In addition, Poland is set to access €44bn, or 4.5% of GDP, under the EU's SAFE defence financing instrument, with contracts worth €30bn already signed. This will continue to support domestic industry and construction sectors as evidenced by lengthening manufacturing order books ([Chart 7](#)). That said, cross-sector divergence is likely to persist, with capital goods producers set to benefit disproportionately from the funding.

At the same time, we're sceptical that support from foreign demand will be material in the short term. Despite the tentative US-Iran agreement, which should ease energy-related headwinds for European industry, we think weak growth among Poland's key trading partners and intensifying competition from Chinese manufacturers – particularly in machinery, electronics, and transport equipment – are likely to still weigh on external demand.

Policy assumptions

Fiscal policy. The fiscal deficit widened to 7% of GDP in 2025 and will come in at 6.8% in 2026. We expect a slow fiscal adjustment thereafter, with the fiscal shortfall remaining above the 3%-of-GDP threshold until at least the end of this decade. We see little chance of meaningful near-term fiscal adjustment. As a result, we see the debt-to-GDP ratio peaking at 76% in 2030 ([Chart 2](#)) and consider the risks as skewed to even fast debt build-up. This will put an upward pressure on government bond yields, keeping interest costs on an upward path toward 3.2% of GDP by 2030.

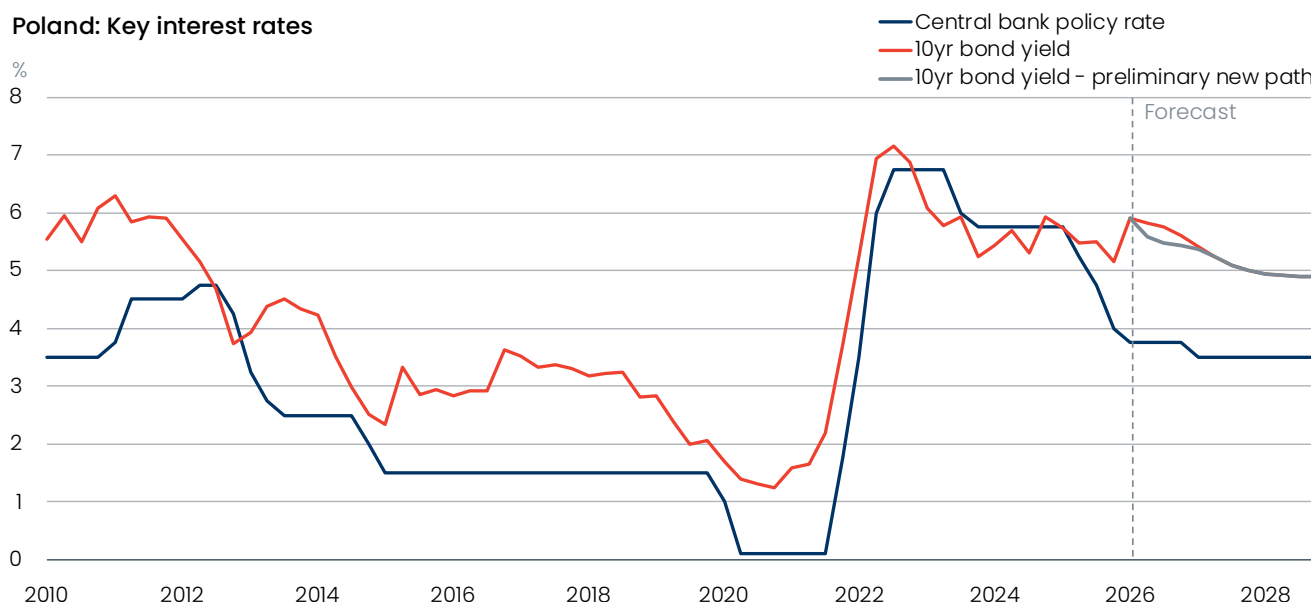
Chart 2: The fiscal deficit will narrow only gradually going forward



Sources: Oxford Economics, Haver Analytics

Monetary policy. We'll stick to our longstanding call that Narodowy Bank Polski (NBP) maintains the policy rate at 3.75% until at least the end of this year. This is predicated on [May's inflation surprise to the downside](#), which has put its path for the remainder of the year on a lower trajectory and eased the council's worries about potential second-round effects. The recently announced US-Iran deal, if followed through with a durable peace agreement, will effectively take any rate hikes this year off the table. It will also help keep long term bond yields 30-40bps below the "no deal" scenario.

Chart 3: We forecast the policy rate to end 2026 at 3.75%, with another 25bp cut pencilled in for Q1 2027



Sources: Oxford Economics, Haver Analytics

Key drivers of our short-term forecast

The recent US-Iran deal will cap the drag from high energy prices. Poland remains a net energy importer and has a relatively high energy dependence for production, so we expect higher fuel prices to weigh on energy-intensive parts of the economy, subtracting 0.3ppts from 2026 GDP growth. While liquid fuels account for 6% of households' spending basket, the scale of the drag has been limited by the administrative price cap, cushioning the hit to inflation and real incomes. The recent trade deal, if sustained, will mean additional drags are unlikely.

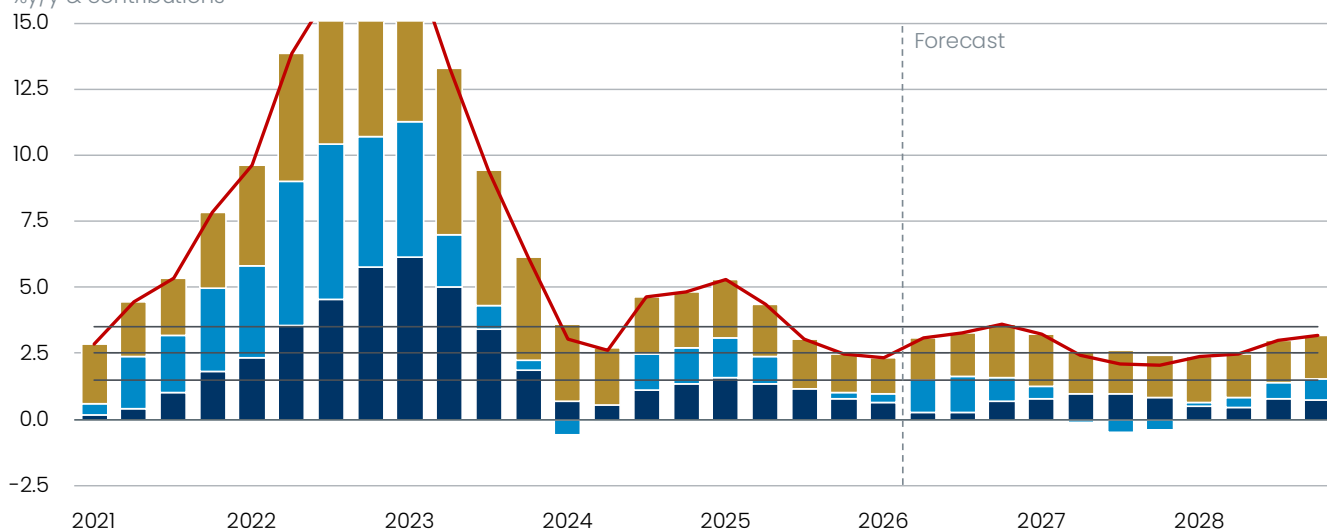
Inflation will remain above the NBP's target this year. Headline inflation unexpectedly fell by 0.1ppt to 3.1% y/y in May, a stark contrast with the consensus expectation of a pickup to 3.6%. This was predominantly due to food prices falling by 1% on the month, defying the seasonal pattern of May pickups. But falling prices were also seen in services. While it didn't prevent annual services inflation from picking up to 5.7% on the back of base effects, monthly declines in prices of recreation, transport services, and communication indicate that higher energy prices have had no visible impact on the broader consumption basket. Relatedly, core inflation ticked up marginally to 3.1% in May.

We've cut our inflation forecast for this year to 3.1%, easing to 2.6% in 2027 ([Chart 4](#)). We now see risks as skewed to the downside as still-contained domestic demand pressures limit the ability of companies to pass higher costs onto consumers and the recent US-Iran deal will pave the way for further oil price falls.

Chart 4: Energy crisis will keep inflation modestly above the central bank's target until year-end

Poland: Inflation

%y/y & contributions



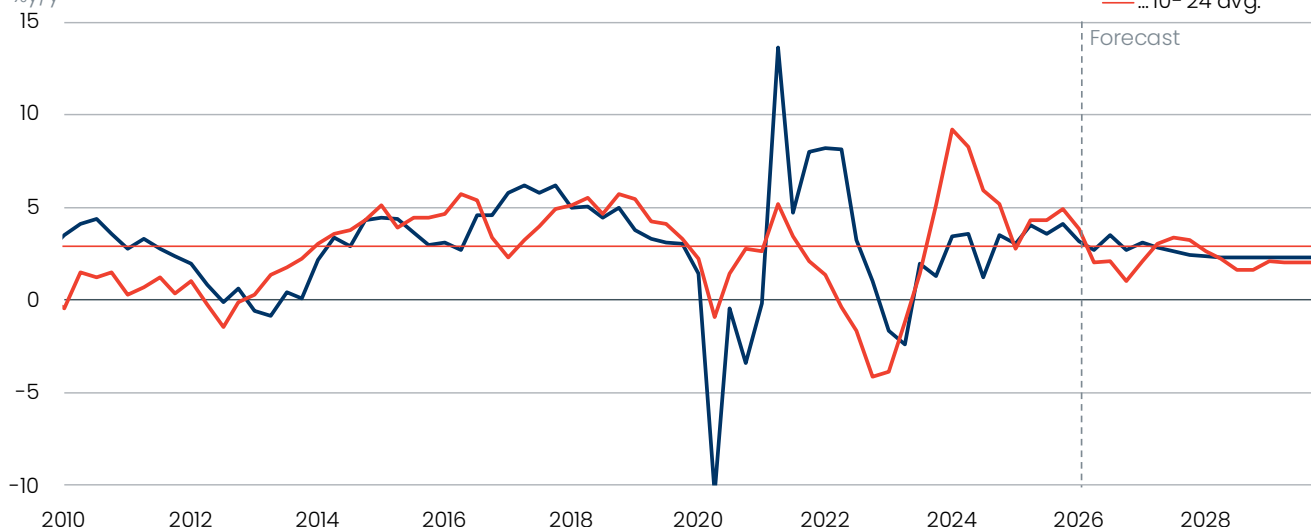
Sources: Oxford Economics, Haver Analytics

Consumption growth will remain solid despite weaker wage growth. We've nudged down our household consumption growth forecast by 0.3ppts to 3% y/y this year as Q1 saw a modest sequential advance at 0.3% q/q. Despite a modest pickup in the registered unemployment rate over the recent months, we don't see immediate labour market risks. While vacancies have shrunk markedly, causing real wage growth to ease to just 2.2% y/y in April as falling nominal wage growth coincided with a pickup in inflation. At the same time, the recently announced US-Iran deal will cap the rise in inflation over H2, meaning a drag on real incomes later this year will be somewhat smaller than we previously thought.

Chart 5: Consumption growth will ease somewhat amid weaker real wage growth

Poland: Consumption outlook

%y/y



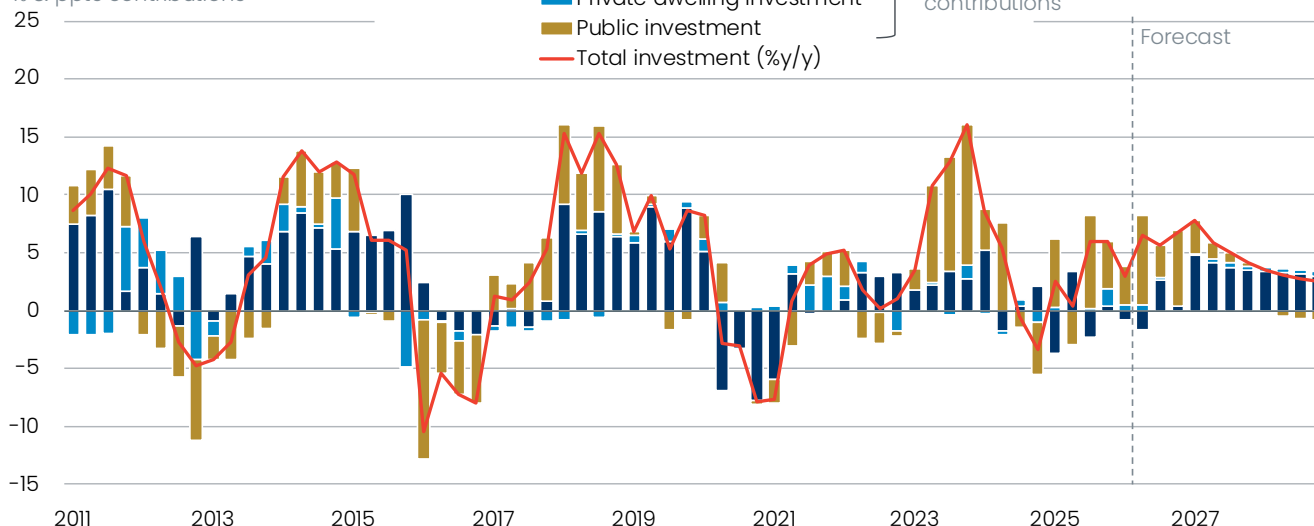
Sources: Oxford Economics, Haver Analytics

EU funds disbursements will keep the cyclical rebound in investment alive. Fixed investment grew by 3.8% last year, defying hopes of a stronger pickup. Private outlays disappointed amid elevated uncertainty and shrinking margins. This year, we expect investment growth will pick up modestly to 5.5% on the back of strong pick-up in EU-financed public investment. The cyclical peak will be reached next year as private outlays improve too (**Chart 6**).

Chart 6: We expect investment growth to peak in 2027

Poland: Investment

% & ppts contributions



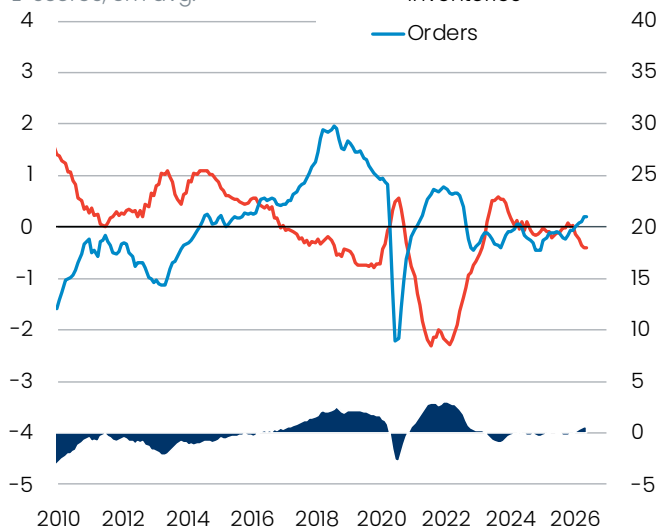
Source: Oxford Economics/Haver Analytics

German fiscal stimulus and defence spending will help industry return to growth. We expect the German fiscal stimulus as well as a pick-up in domestically financed defence spending to help Polish manufacturing return to growth after mediocre advances in 2024 and 2025. Some impact is already visible as the gap between new orders and inventories is now the widest since 2022, even though sectoral divergence persists (**Chart 7**).

Chart 7: The assessment of orders relative to inventories is now most positive since 2022

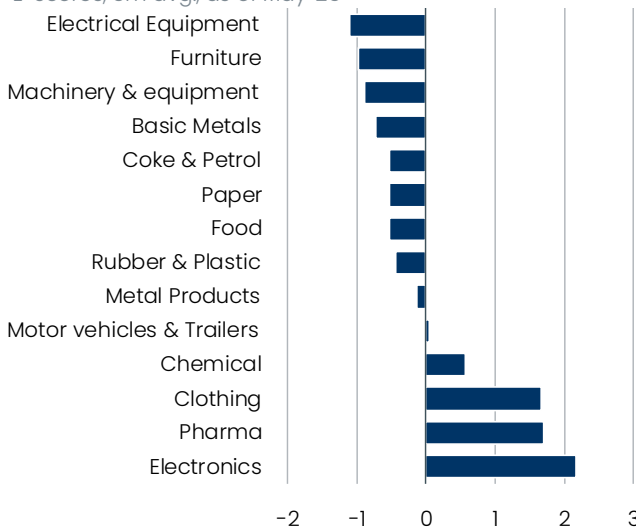
Poland: Industrial demand

z-scores, 3m avg.



■ orders vs inventories (+ = more positive outlook)

z-scores, 3m avg., as of May '26



Sources: Oxford Economics, Haver Analytics

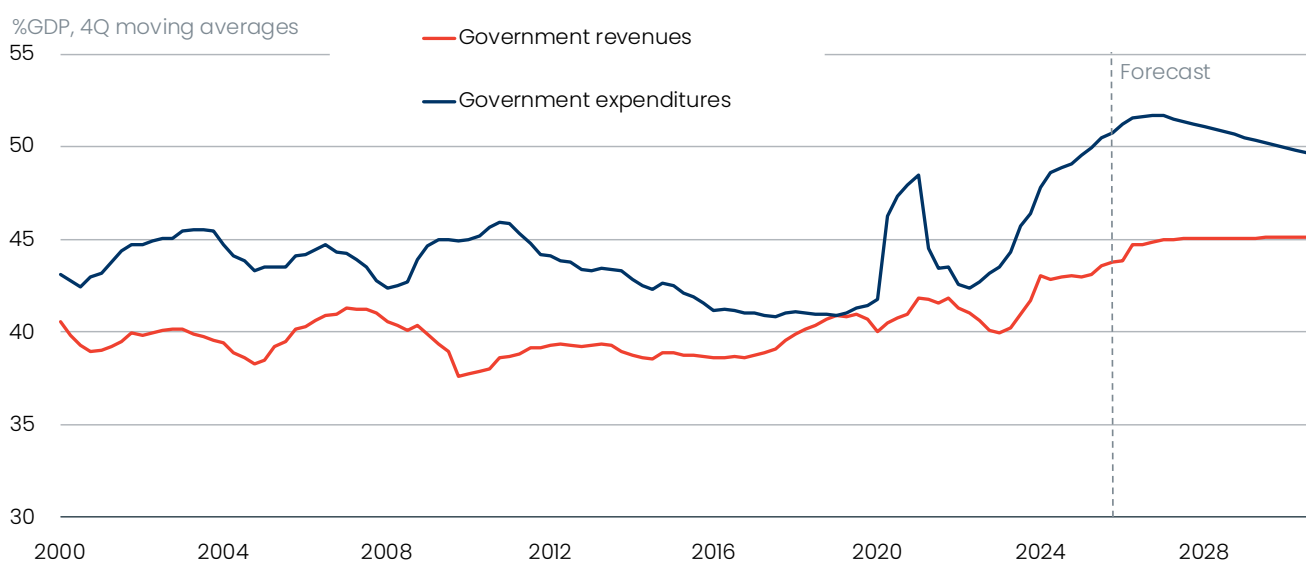
What to watch out for

Fiscal risk. Polish fiscal policy remains very loose, with the deficit widening to 7% of GDP last year. Multiple spending commitments, not least on the military and social programmes, have bloated expenditures, which rose to 50.7% of GDP last year, the highest since modern statistics started being collated in 1995. On the revenue side, generous income tax cuts implemented in 2022 as well as a host of smaller tax cuts in the subsequent years prevented a stronger pick-up in revenues in line with solid activity.

With President Karol Nawrocki determined to prevent any tax hikes, additional borrowing will lead to a steady rise in the debt-to-GDP ratio, which we expect to surpass 70% in 2028. But risks around the pace of fiscal consolidation are material and skewed to a larger increase in debt.

Chart 8: The wedge between expenditures and revenues will remain wide in the near term

Poland: General government finances



Sources: Oxford Economics, Haver Analytics

Supply-side constraints will build as investment projects pile up. We think Poland is set for a cyclical upswing in fixed investment and construction in 2026–2027. Several factors will boost outlays, with EU funds being the key driver of public construction works. Improving private demand prospects will support private outlays. Along with binding supply constraints on labour and materials and equipment, this might put the construction sector under pressure.

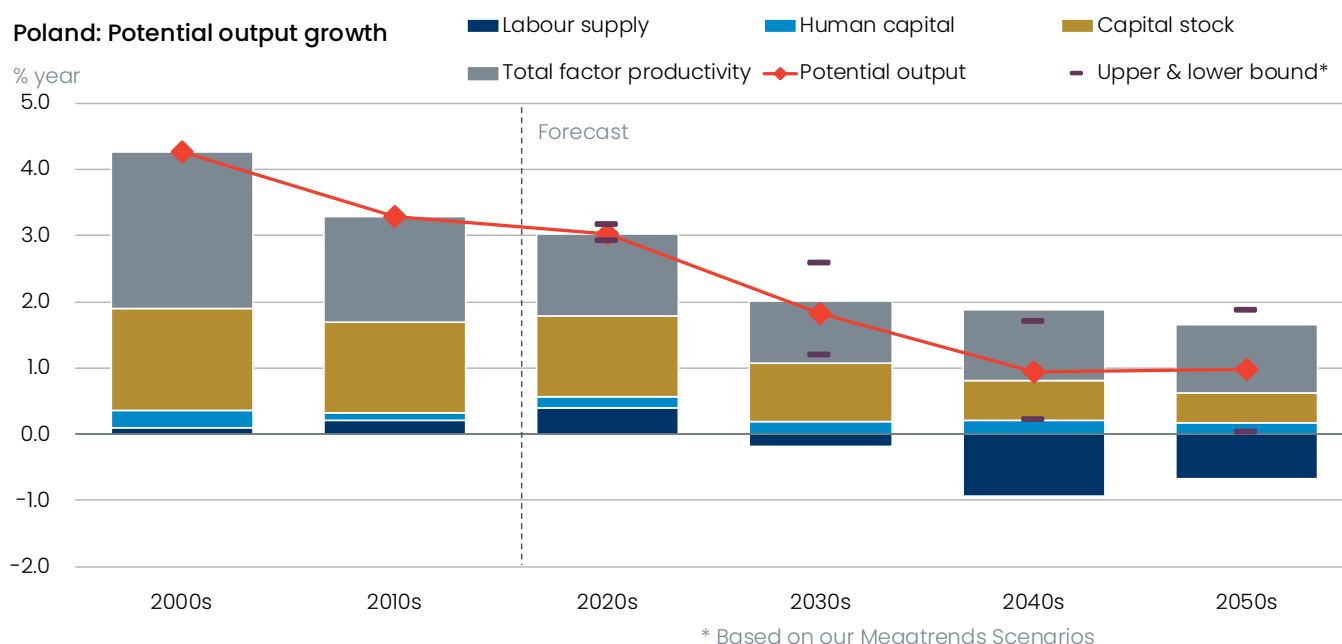
Demographics and labour force. Poland's strong growth performance over the past two decades has been supported by productivity gains and a steady expansion of the labour force. Employment benefitted from rising labour market participation to 82%, which now exceeds the EU average among prime-age workers, and substantial immigration inflows, particularly from Ukraine. However, these tailwinds are fading. Population ageing is set to accelerate over the coming decade, while tighter migration policies and a shrinking pool of available workers in neighbouring countries are likely to limit labour supply growth.

As a result, we expect employment to remain broadly flat at around 17.7 million over the next decade. With labour no longer providing a meaningful contribution to potential growth, sustaining convergence with Western Europe will increasingly depend on higher investment, faster productivity growth, and the successful adoption of new technologies, underscoring the importance of policies that support innovation, skills, and capital formation.

Long-term prospects

Polish GDP growth has proven solid since the start of the century, averaging 4.2% in the 2000s and 3.6% in the 2010s. This was driven by capital accumulation and rapid technological progress, spurred by foreign direct investment and the transfer of know-how from abroad. In addition, the authorities spent EU funds effectively, helping to modernise Poland's infrastructure and boost human capital. However, we now expect potential output growth to decline gradually, easing to around 3% in the current decade and 2% in the 2030s ([Chart 9](#)).

Chart 9: Our baseline forecast shows a growing drag from a shrinking labour supply



Sources: Oxford Economics, Haver Analytics

Poland's worsening demographic profile, coupled with its low retirement age, will act as a drag on the labour supply, leaving migration to counterbalance the negative impact. Russia's invasion of Ukraine triggered a massive refugee outflow from Ukraine, with around 1mn still residing in Poland. The refugee population now accounts for around 2% of the total labour force, and we think around half would return home in the event of a stable ceasefire scenario. This would exacerbate labour shortages in several sectors.

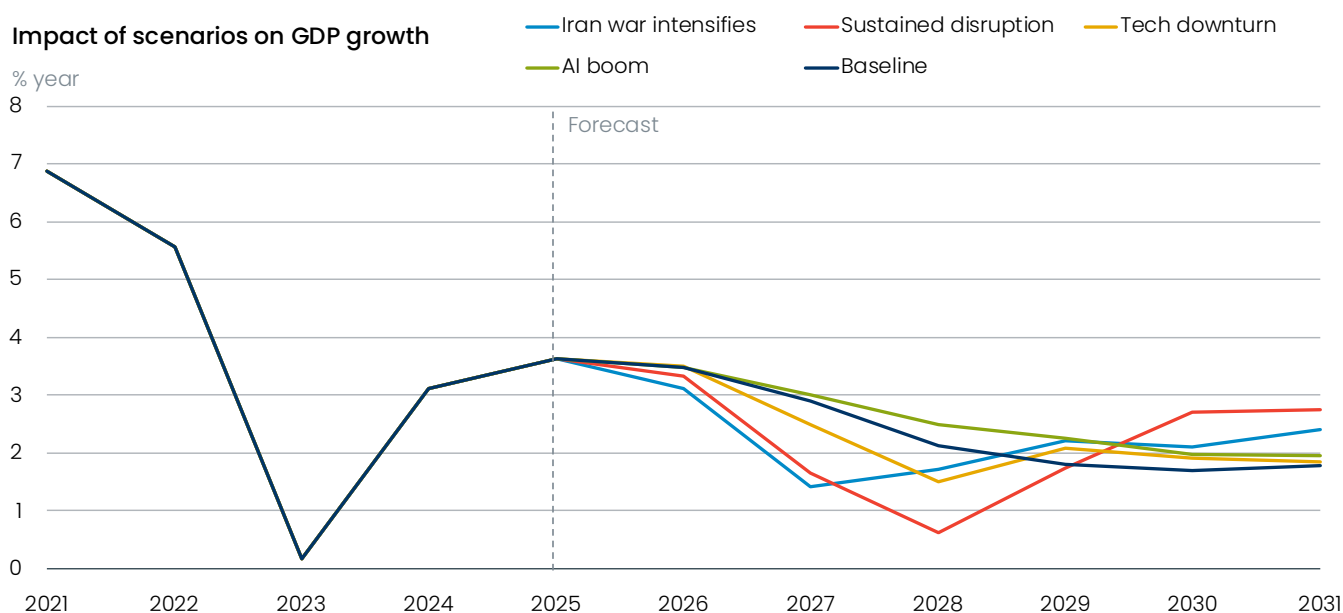
Poland's growth is based primarily on the relatively well-educated labour force and an advantageous wage differential in relation to the more long-standing EU states. However, we think the technological 'catch-up' process will become more challenging in the future. Poland will need to develop its own innovation ecosystem and homegrown enterprises that can take a larger proportion of the value added in global value chains if it's to maintain the process of convergence.

Scenarios

Exposure to key global risks

AI boom. The global economy is bolstered in this scenario by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuel gains in productivity. US tech capital spending continues to grow sharply, mirroring the upswing witnessed in 1990s. Digital technology investment rises by a further 15% in the first year of the scenario. Stock markets gain at the same time, supported in part by looser Federal Reserve policy than in our baseline forecast. Exporters of tech products and other economies gain from robust US demand. Over the next three years, Polish GDP growth would be 0.1ppt a year above our baseline forecast in this scenario ([Chart 10](#)).

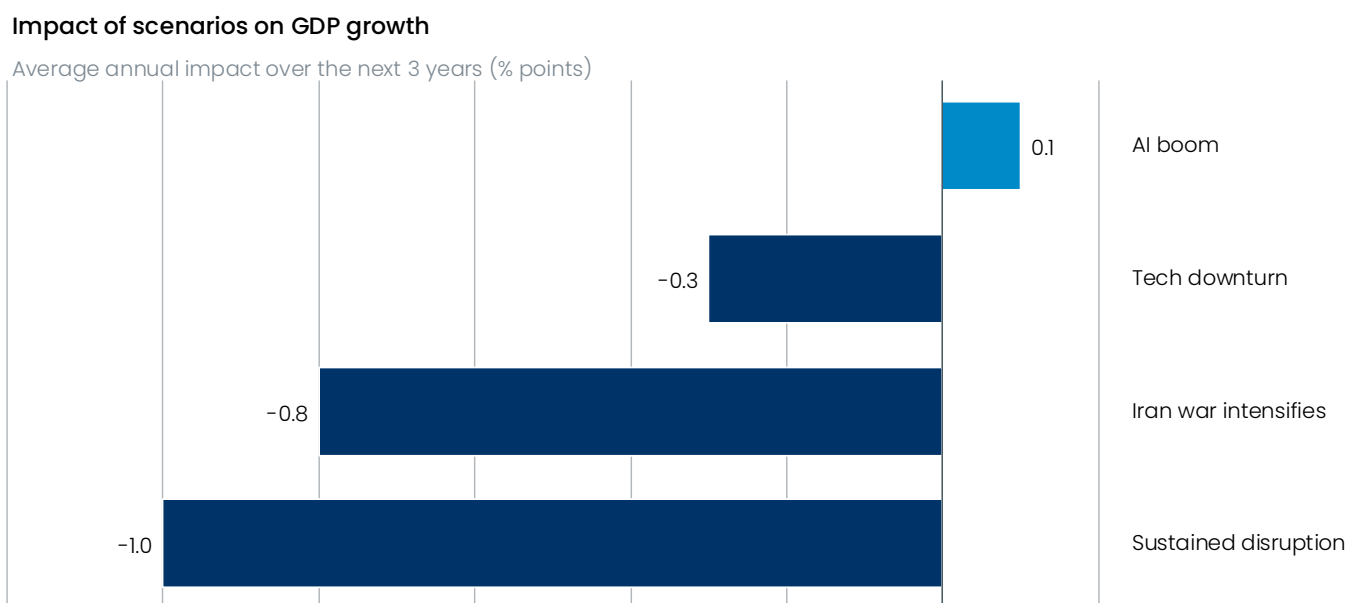
Chart 10: A severe disruption of the Strait of Hormuz remains the key downside risk to the outlook



Source: Oxford Economics

Sustained disruption. In this scenario, the Strait of Hormuz remains effectively closed until 2028. Energy prices remain elevated as a result. Oil prices rise to \$120pb in the near term and edge higher to around \$130pb over the course of 2027 as inventories are drawn down. Inflationary pressures rise over time. Supply-chain pressures outside the energy sector persist and the protracted period of higher energy prices leads to a steady rise in inflation expectations. Central banks react by tightening policy and government bond yields rise steadily above the baseline. In this scenario, Polish GDP growth is 1ppt below the baseline over the next three years.

Chart 11: Risks are skewed to the downside



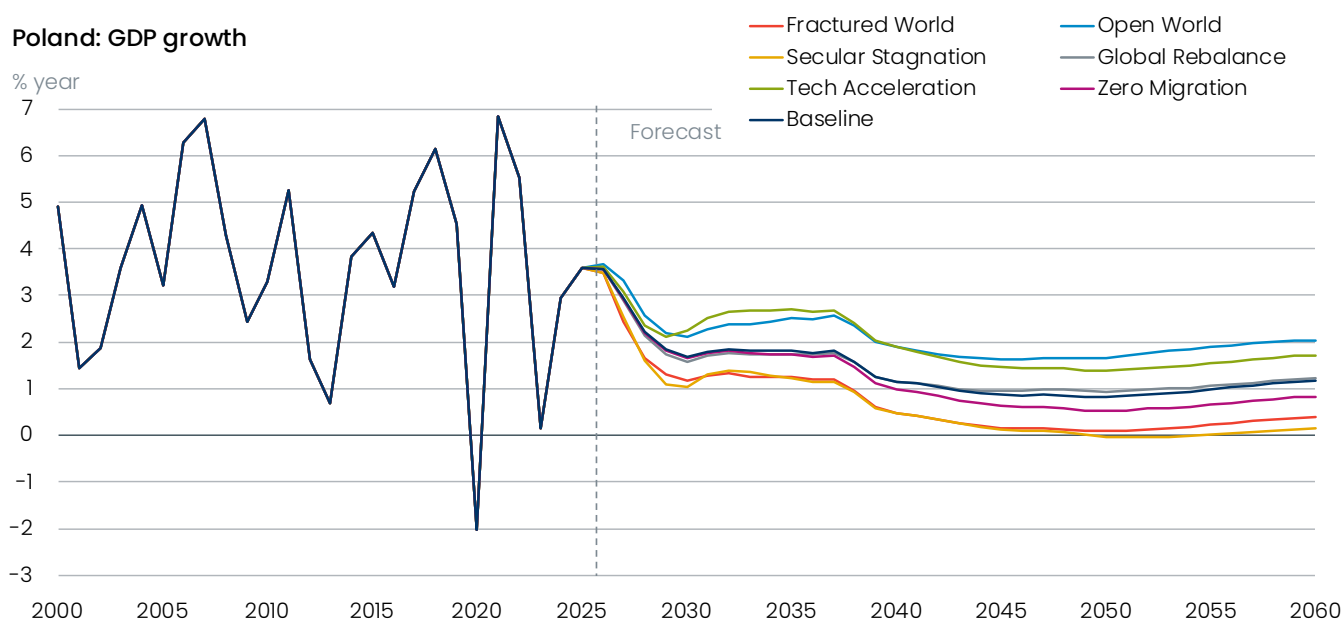
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological revolution. In this scenario, trade barriers are eased over the next decade, fostering greater cooperation and improved geopolitical stability. Productivity growth strengthens amid a more stable business environment, stronger technological progress, and higher fertility rates, compared to our baseline. A virtuous circle of economic growth drives rising living standards and improved financial stability. Sustained real wage growth increases labour market participation. Nominal and real interest rates also rise. Polish annual GDP growth would be 1.2ppts higher than in our baseline forecast from 2030–2060.

Chart 12: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound impacts on potential output, while poor productivity limits real wage growth and labour participation. In this scenario, Polish GDP grows by 0.8ppts a year less than in our baseline forecast.

Economic risk

Economic risk evaluation

Table 2: The exchange rate risk has fallen markedly since December

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	3.4	-0.2	33
Market demand	3.0	0.0	7
Market cost	3.0	0.0	13
Exchange rate	3.4	-1.0	82
Sovereign credit	3.5	-0.3	39
Trade credit	4.0	0.0	24

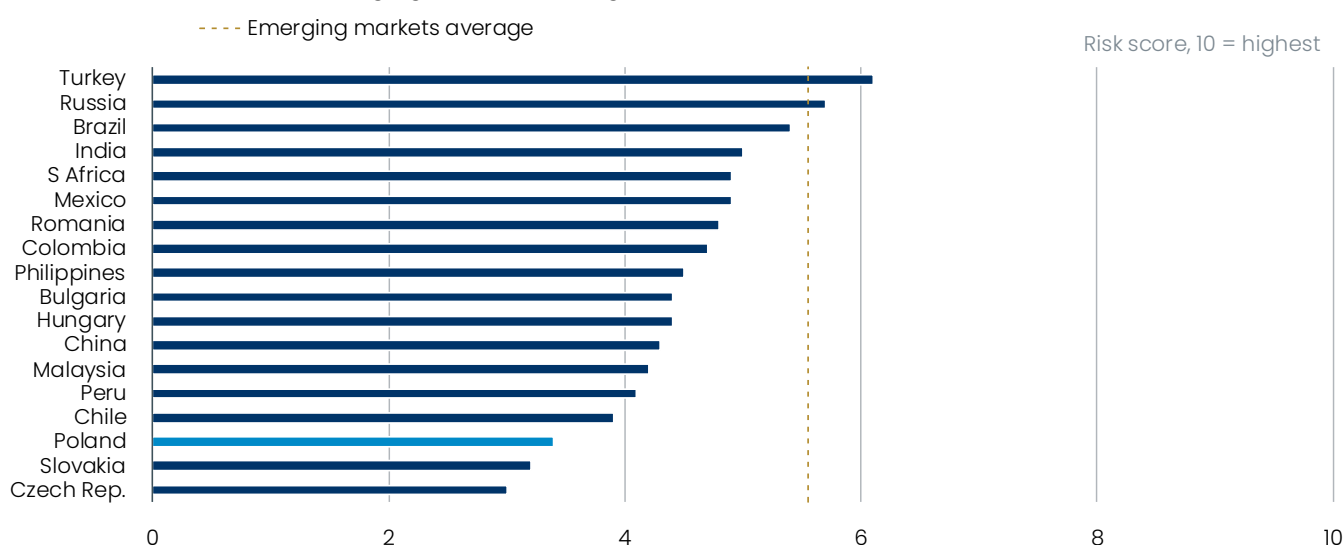
Source: Oxford Economics

Overall risk for Poland: 3.4/10*

Poland's overall economic risk score of 3.4 is moderate, ranking it 33rd out of the 164 countries in our survey. The risk score is slightly lower relative to six months ago and is one of the lowest across the EMs ([Chart 11](#)).

Chart 13: Poland has one of the lowest risk scores out of all EMs

Economic risk: Poland vs Emerging markets average



Source: Oxford Economics

Before the pandemic, Poland had enjoyed strong economic expansion and limited imbalances. After a mild 2020 recession, growth rebounded quickly. While activity stagnated in 2023 amid the energy and inflation crises, the economy recovered in 2024-2025 and should continue expanding on the back of solid domestic demand and improving exports going forward. External imbalances widened in 2022 but have since corrected. The ongoing energy crisis will lift current account deficit this year, but we expect it to narrow again in 2027.

Medium-term risks stem from the rapidly shrinking labour force due to fast aging of the society combined with the relatively low retirement age and weaker predicted immigration. In addition, cost competitiveness of the economy is set to keep narrowing further, putting a strain on the low value-added activities, particularly in manufacturing. Finally, a challenging fiscal stance might trigger the need for sharp correction should investors start doubting Poland's long-term fiscal sustainability.

Market demand: 3.0/10

The market demand risk score of 3.0 is well below the emerging markets average of 5.8. A resilient labour market, alongside fiscal policy supporting disposable incomes, is fuelling consumer spending. However, poor demographics will drag on demand growth over the long term. The uncertain policy environment, lack of a long-term migration policy, and low research and development outlays will hamper investment and productivity.

Market cost: 3.0/10

The market cost risk score of 3.0 is well below the emerging markets average of 5.9 owing to a strong labour cost/productivity differential.

The introduction of an inflation-targeting policy was largely successful in producing a low and stable inflation environment prior to the coronavirus pandemic. Cost pressures have also been contained by a relatively stable currency, which has appreciated markedly relative to the euro since 2022. But the prospects of elevated medium-term inflation and worsening demographics, as well as expanding wage pressures, [could hurt competitiveness](#) and foreign direct investment attractiveness.

Exchange rate: 3.4/10

Under our methodology, the exchange rate risk score is 3.4, notably lower than six months ago and below the emerging markets average of 4.3.

Since late 2024, the zloty has traded in a relatively narrow range despite a volatile global backdrop. After weakening following Donald Trump's election win in the US, it rebounded on tentative hopes of a de-escalation in the Russia-Ukraine war, before giving back some gains amid renewed global trade tensions linked to US tariff announcements. More recently, even the escalation in the tensions in the Middle East triggered only a limited risk-off reaction in Polish assets. Overall, the zloty's sensitivity to external shocks has been notably more contained than in previous episodes and relative to regional peers, with exchange rate versus the euro remaining broadly stable around PLN4.25/EUR over the past six months.

Sovereign credit: 3.5/10

Poland's sovereign credit risk score of 3.5, based on our data-driven methodology, is lower than six months ago and below the emerging markets average of 4.8.

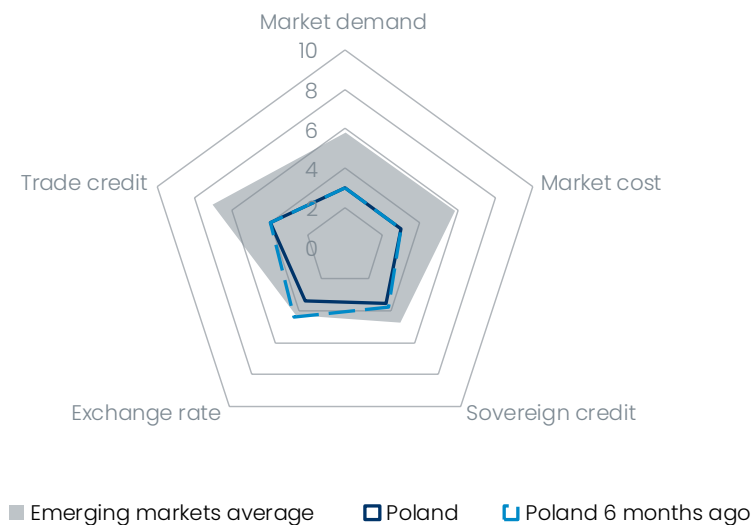
External (current account and reserves) and domestic (fiscal deficit and government debt) balance sheets were broadly balanced before the pandemic. However, the fiscal deficit rose to 6.9% of GDP in 2020 due to the pandemic response measures. The additional stimulus in the form of subsidies and tax cuts translated into a widening fiscal deficit, which peaked at 7% of GDP in 2025.

We expect the fiscal shortfall to narrow only gradually going forward, keeping the debt-to-GDP ratio, currently at just below 60%, on a steady upward path until the end of this decade. The outbreak of the US/Israel war with Iran caused the 10-year bond yield to jump by around 90bps, but the recent announcement of the deal brought the yield back to around 5.5%. We expect this level to persist in the near term.

The ruling coalition's ambitious spending plans, along with the low public tolerance of tax hikes, will keep interest costs on the upward trajectory and suggest downside risks to fiscal sustainability and investor confidence, as evidenced by Fitch and Moody's changing the outlook on Poland's A- rating to negative last year.

Chart 14: Poland's exchange rate risk has eased as the zloty remains stable despite global turbulence

Economic risk: Poland vs Emerging markets average



Source: Oxford Economics

Trade credit: 4.0/10

Trade credit risk score – a measure of private-sector repayment risk – of 4.0 is significantly lower than the emerging markets average of 7.1.

The strength of the financial sector has enabled credit growth to remain positive in recent years, despite the introduction of a high banking sector tax. But tighter monetary policy has curbed lending to the private sector recently. Firm macroeconomic fundamentals will likely support the zloty.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).